

FEDERAL MARITIME COMMISSION

OJ COMMERCE, LLC,

Complainant,

v.

HAMBURG SÜDAMERIKANISCHE
DAMPFSCHIFFFAHRTS-GESELLSCHAFT
A/S & Co. KG AND HAMBURG SUD
NORTH AMERICA, INC.,

Respondents.

Docket No. 21-11

Served: June 27, 2025

BY THE COMMISSION: Louis E. SOLA, *Chairman*; Rebecca F. DYE, Daniel B. MAFFEI, and Max S. VEKICH, *Commissioners*.

Order Denying Petition for Reconsideration

This case is before the Commission on a Petition for Reconsideration (“Petition”) from the Commission’s Order Affirming Initial Decision (“Final Decision” or “F.D.”) dated August 27, 2024. The Final Decision ordered Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG (“HSDG”) to pay OJ Commerce, LLC (“OJC”) a total of \$17,563,806.14 in reparations, including interest running from

April 29, 2021, due to HSDG's knowing and willful violations of the Shipping Act's prohibitions on refusing to deal and retaliation.

OJC now petitions the Commission to reverse part of Section C.3.ii of the Final Decision, which described how the Commission calculated OJC's profits per container. The Commission disagrees with the Petition that the Commission erred in finding that HSDG would not have renewed OJC's service contract for the prior year's shipping rates. OJC's interpretation of an email from Ms. Casanova is misleading and does not identify a substantive error in the Commission's Final Decision. The Commission summarily rejects and, in the alternative, denies the Petition on the merits.

I. BACKGROUND

A. Procedural History

As a limited liability company organized with a principal place of business in Miramar, Florida selling "dropship products" from domestic inventory of hundreds of brands, OJC initiated this case with a Complaint served December 13, 2021. F.D. at 2-3. The Complaint alleged that HSDG is a vessel-operating common carrier and that it violated 46 U.S.C. § 41104(a)(3) and (10) (2021) in connection with service contract AECC0000291 and with unsuccessful negotiations towards a renewal covering June 2021 to June 2022. Verified Complaint. On June 7, 2023, the Administrative Law Judge ("ALJ") issued the Initial Decision ("I.D.") which found HSDG violated both 46 U.S.C. § 41104(a)(3) and (10), concluded double reparations were appropriate, and ordered HSDG to pay OJC \$9,843,766.40 with interest. I.D. at 64. Both HSDG and OJC filed exceptions on June 29, 2023, and responses on July 21, 2023. The Commission issued the Final Decision on August 27, 2024, which affirmed the Initial Decision's finding as to liability but modified the award of damages. F.D. at 63-64. The Commission concluded that profits should be calculated based on the shipping costs OJC actually paid

across the 2021-2022 service contract period and that the parties would have agreed on a 400 forty-foot-equivalent (“FFE”) minimum quantity commitment (“MQC”). *Id.*

B. Reparations

The ALJ accepted OJC’s calculations of average revenue per container, \$60,250.30, and average profit per container, \$22,892.48. *I.D.* at 48. The ALJ noted that OJC calculated those numbers using costs for actual shipments made from June 1, 2020, to July 16, 2022. For revenue per container, OJC used actual products shipped and the selling price of those products. *Id.* The ALJ found OJC calculated profits-per-container by using the same information about actual products shipped and selling price and deducting “all the costs” such as the purchase cost of the good, sales commissions, marketing, fulfillment center costs, and shipping costs. *Id.* However, contrary to the ALJ’s conclusion, OJC did not use actual shipping costs it paid during the June 1, 2021, to July 16, 2022, period. OJC’s data instead uses an estimated rate OJC calls “HS Est Rate” that OJC seems to have created. This rate is based on the 2020-2021 service contract rates OJC paid even though OJC’s data reflects actual shipment costs for shipments made in the 2021-2022 service contract year. OJC Exhibit 101. OJC used this rate because OJC believed HSDG would have renewed the service contract with the same rates. *Petition* at 7.

The Commission identified the ALJ’s mistake in the Initial Decision and corrected the calculations in the Final Decision. *F.D.* at 50-54. The Commission explained that it was unreasonable to assume that HSDG would have agreed to renew OJC’s service contract at prior year rates based on the record and the market conditions at that time. Negotiations never reached a point where the parties exchanged proposed rates and it is not clear from the record what rate the parties would have negotiated, so there is no indisputable rate the Commission could simply substitute. Instead of remanding the case for the ALJ to correct the calculations based on the same record before the Commission, the Commission chose

to adjust the calculations. F.D. at 52. The Commission analyzed the record and concluded that the most just and reasonable hypothetical shipping rates for the 2021-2022 Service Contract were the rates OJC actually paid during this period. *Id.* at 52-54. The Commission calculated OJC's lost profits per container for the 2021-2022 service contract at \$18,983.01 instead of the ALJ's \$22,892.48. F.D. at 63.

OJC's Petition focuses on an internal HSDG email exchange and language in the Final Decision. The Commission concluded that there "is no evidence that HSDG was willing to renew for the 2020-2021 shipping rates" F.D. at 51. However, Ms. Casanova sent an internal email to HSDG employees stating, "I created the new [contract] . . . The new contract contains the same lanes, rates, and conditions of the current contract" Complainant's Appendix ("CX") at 214. Ms. Casanova sent a follow-up email 22 minutes later that more fully describes OJC's history as an HSDG customer, recites OJC's actions due to HSDG's purported breach of the existing contract, and asks if HSDG can increase the MQC to 400 FFE to make up for the previous contract shortfall. CX at 215. Ms. Casanova does not mention maintaining the lanes, rates, or conditions of the previous contract. The record includes no evidence the parties exchanged proposed shipping rates for the renewed contract.

II. DISCUSSION

A. Standard of Review

The Commission's rules for reconsideration of a final decision or order of the Commission are found at 46 C.F.R. § 502.261. A petition for reconsideration will be summarily rejected "unless it . . . (2) [i]dentifies a substantive error in material fact contained in the decision or order". 46 C.F.R. § 502.261(a). A petition cannot simply elaborate on or repeat arguments made prior to the decision or order. *Maier Terminals, LLC v. Port Auth. of N.Y. & N.J.*, Docket No. 08-03, 2014 WL 5316353, at *3 (FMC Feb. 11, 2014).

B. Count I

1. Summary Rejection

As a threshold matter, the Commission's regulations require that the Commission summarily reject any petition that does not meet one of three criteria. The relevant criterion for this Petition requires that OJC allege an error that is a substantive error of material fact. 46 C.F.R. § 502.261(a)(2). Few Commission decisions delve into what constitutes a "substantive error" or what qualifies as a "material fact". Generally, a "substantive error" is understood to be one that affects a party's substantive rights or the outcome of a case. *Substantive Error*, Black's Law Dictionary (10th ed. 2014); *Hutchins v. Champion Int'l Corp.*, 110 F.3d 1341, 1344 (8th Cir. 1997); *see also Skyview Cabinet USA, Inc. v. U.S.*, 2024 WL 4904673, at *4 (Ct. Int'l Trade Nov. 27, 2024) (defining a "substantive error" as an error that affects a party's substantive rights or the outcome of the case).

For reasons further elaborated on below, the Petition does not identify a "substantive error." Even if the Commission accepted that it erred by failing to consider part of Ms. Casanova's statement, the error would not affect the outcome of this case or OJC's substantive rights. Thus, the first count of the Petition does not identify a substantive error of material fact and the Commission summarily rejects the Petition.

2. Petition Denial

Alternatively, and in addition to summarily rejecting the Petition on Count I, the Commission denies Count I of the Petition on the merits. *See China Ocean Shipping Company v. DMV Ridgeview, Inc.*, 1992 WL 231211, at *2 (FMC Mar. 19, 1992). As relevant here, OJC asserts that the Commission made a substantive

error in material fact by using the significantly higher spot market shipping rates to calculate profits for the 2021-2022 service contract period instead of the same rates OJC paid for the 2020-2021 Service Contract. OJC extrapolates from an internal HSDG email that HSDG would have offered OJC the same rates as the prior year. Petition at 4. The Commission disagrees.

The ALJ explained in the Initial Decision why it was not reasonable for OJC to assume HSDG would agree to renew the 2020-2021 Service Contract rates for the 2021-2022 service contract year. I.D. at 55. The parties did not reach the point of exchanging contract rates before HSDG disengaged, Ms. Casanova's "same rates" comment was not presented to OJC as an offer, and it is clear from the context of Ms. Casanova's email that she was merely providing the information internally to begin the contract renewal process. *Id.* The ALJ explained that HSDG's violations of the Shipping Act are the reasons the parties did not agree on shipping rates for a hypothetical 2021-2022 service contract. The ALJ believed¹ OJC had calculated profits for the 2021-2022 service contract period by using actual shipping rates it paid on the spot market and concluded such a measure of profits was "sufficiently supported to use in calculating 2021-2022 injuries." *Id.* at 56.

The Commission, like the ALJ, concluded that it was not reasonable for OJC to assume HSDG would renew for the previous year's shipping rates and found that OJC's actual shipping rates were the appropriate measure for calculating OJC's damages. F.D. at 52. Generally, the Commission may order reparations for the actual injury caused by violations. 46 U.S.C. § 41305(b); F.D. at 51. "Actual injury" means compensation for the actual loss or injuries sustained by reason of the wrongdoing. *MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, Docket No. 16-16, 2022 WL 2209421, at *3 (FMC June 10, 2022). Absolute precision is not

¹ OJC actually used the "HS Est Rate" mentioned above that was based on the rates it paid HSDG the prior year.

necessary, but the evidence must be sufficient to infer actual loss. F.D. at 39.

The Commission explained in the Final Decision that OJC's spreadsheet contains unsupported assumptions and the ALJ was correct to conclude that HSDG would not have renewed the 2021-2022 Service Contract for the prior year's shipping rates. F.D. at 50-51. The Commission pointed out that HSDG stated it would have never renewed for the rates in the 2020-2021 Service Contract, there is no evidence that HSDG was willing to renew for the 2020-2021 Service Contract rates, the contract did not contain an automatic renewal provision, HSDG's expert described marketplace dynamics at the beginning of 2021 that would have dictated higher rates, and spot rates at least doubled over the course of 2020-2021. *Id.* at 51.

OJC places great weight on the Final Decision's use of the phrase "no evidence" and the email from Ms. Casanova where she discusses a renewal contract with the "same rates." The Final Decision states there "is no evidence that HSDG was willing to renew for the 2020-2021 shipping rates" F.D. at 51. Ms. Casanova sent an internal email to HSDG employees stating in relevant part: "I created the new [contract] . . . The new contract contains the same lanes, rates, and conditions of the current contract" CX at 214. OJC argues that this statement in Ms. Casanova's email is evidence that HSDG did renew its service contract with OJC at the same rates and conditions as the prior contract. Petition at 7.²

The Commission disagrees with OJC's interpretation. Ms. Casanova sent her email to members of the trade team at HSDG, Mr. Li and Mr. Cheung. Respondent's Appendix ("RX") at 955. Ms. Casanova explained in her declaration that the trade team was the team within HSDG that would provide new rates for any contract. RX at 1139. Her first email to the trade team on April 29, 2021, at

² It is not clear how OJC reconciles the statement that HSDG did renew OJC's service contract using the same rates with the Commission's conclusion that HSDG did not renew. HSDG does not challenge that conclusion but assumes it is wrong. Petition at 7.

10:16 AM, which OJC cites above, stated that Ms. Casanova only modified the MQC, while leaving trade lanes, rates, and conditions of the existing contract. CX at 214. Ms. Casanova then described conditions and fees that need to be updated, indicating that she did not change aspects of the contract that she knew needed to be updated. *Id.* In a follow-up email to the same recipients at 10:38 AM, Ms. Casanova more fully describes OJC's history as a customer, recites OJC's actions due to HSDG's purported breach of the existing contract, and asks if HSDG can increase the MQC to 400 FFE to make up for the previous contract shortfall. CX at 215. Ms. Casanova does not mention maintaining the lanes, rates, or conditions.

Ms. Casanova declared under oath that she was not internally proposing maintaining the same rates and OJC points to no persuasive evidence from the record to refute her sworn declaration. RX at 1139. Even if Ms. Casanova was internally proposing to maintain the same rates, HSDG would not have made that offer to OJC. Mr. Li forwarded Ms. Casanova's email to Mr. Pump and said, "they are proposing a renewal contract with 400 FFE MQC but all rates remain the same from the last year contract." CX at 220. The phrasing of Mr. Li's message shows that he found most objectionable the idea that OJC was expecting to maintain rates from the prior year. The record reinforces this interpretation, as Mr. Li was aware of OJC's projections of moving 4,200 to 4,700 FFE across 2021-2022, did not disengage from negotiations at the mention of this increased expectation of space, and continued to follow up about OJC proposing an MQC. *Id.* at 224-26. Mr. Pump testified that he did not remember any customer negotiating a service contract for 2021-2022 that maintained the same rates as the prior year. RX at 991. He testified that such an expectation would not have been reasonable given the state of the transpacific market at the time and was "completely detach [sic] from realities of the market." Opposition to Reconsideration at 5; RX at 993. Though OJC insinuates this sworn testimony should be disregarded as it is self-serving, OJC offers no persuasive evidence contradicting these statements.

Ms. Casanova also adequately explained the pertinent language from her email. She created a contract in HSDG's internal system with the same rates because those were the existing rates in the system that populated. RX at 1139. Ms. Casanova declared that new rates would have depended on the MQC and trade lanes for a proposed service contract. *Id.* at 1138. Ms. Casanova sent her internal email to "gauge interest" in a renewed contract and "determine" contract rates. *Id.* at 1139. She reiterated an interest in increasing the MQC but made no mention of maintaining the same rates. *Id.* Finally, she was not part of the trade team that sets rates for service contract renewals and she sent the email to that team to get them to provide her new rates. *Id.* at 955, 1139.

Thus, the Final Decision is correct that the record reflects no evidence that HSDG was willing to offer OJC a 2021-2022 service contract with the same rates as the 2020-2021 Service Contract. Ms. Casanova left the previous year's contract rates in the system because they auto-populated, she flagged that she had left terms of the 2020-2021 Service Contract in the system except for an increased MQC, and she reiterated a request for an increased MQC but never mentioned maintaining rates. Ms. Casanova was not part of the trade team at HSDG that set rates, and these rates would have been set after deciding on a volume commitment and trade lanes. Mr. Li's communications show a frustration specifically with the idea that OJC would expect to maintain rates from the prior year, and he would have had more authority as part of the trade team to set rates than Ms. Casanova. Mr. Pump agreed with Mr. Li and testified that he remembered no customers maintaining prior year rates and such an expectation would have been completely detached from the market reality. OJC produced no evidence that HSDG communicated a willingness to maintain the prior year's rates to OJC.

OJC argued that the Commission erred by concluding that the record reflects no evidence that OJC was willing to offer a service contract renewal with the prior year rates in light of Ms.

Casanova's internal email. But as discussed, Ms. Casanova's email was sent only internally within HSDG, it expressed no intention of offering OJC a renewal at the same rates, she was not part of the trade team that sets rates, the trade team and senior executives rejected the idea of offering OJC a renewal at the same rates, and the evidence of the shipping market at the time of renewal discussions is inconsistent with OJC's argument. The weight of the evidence is contrary to OJC's interpretation and OJC's petition for reconsideration on this count is denied.

3. Collateral Estoppel

The Commission also denies the Petition on Count I due to collateral estoppel, because OJC failed to disagree with the Initial Decision's conclusion. The Commission's regulations governing petitions for reconsideration and exceptions do not explicitly address whether a petition for reconsideration is precluded when a party does not first raise an issue in exceptions. 46 C.F.R. §§ 502.227, 502.261. But the principles of collateral estoppel may properly be applied in administrative cases. *Pac. Seafarers, Inc. v. Pac. Far E. Line, Inc.*, 404 F.2d 804, 809 (D.C. Cir. 1968). "When an administrative agency is acting in a judicial capacity and resolves disputed issues of fact properly before it which the parties have had an adequate opportunity to litigate, the courts have not hesitated . . . to enforce repose." *Martyn Merritt, et. al. - Possible Violations of Sections 10(a)(1) and (10)(b)(1) of the Shipping Act of 1984*, No. 89-27, 1991 WL 382879, at *5 (FMC May 20, 1991) (discussing the closely related canon of res judicata).

Here, the ALJ conclusively determined that OJC's actual shipping rates were the appropriate means to calculate OJC's profits. I.D. at 55-56. The ALJ stated that the profit calculation "based on 2020-21 and 2021-2022 actuals is sufficiently supported to utilize in calculating 2021-22 injuries, especially as the profit per container includes the spot rates OJC utilized in 2021-22." I.D. at 56. OJC had the opportunity to fully litigate this issue, the ALJ evaluated OJC's and HSDG's arguments, and the ALJ decided to use spot rates to

calculate damages. OJC did not appeal this conclusion in OJC's exceptions. *See* Complainant's Exceptions to the Initial Decision. As such, OJC has had a chance to fully litigate this issue and it did not disagree with the ALJ's decision on this point. Even if the Petition were not summarily rejected and denied on the merits, the Commission would not entertain the Petition due to collateral estoppel.

C. Count II

1. Summary Rejection

For the second count in the Petition, OJC argues that even if there is uncertainty about whether HSDG was willing to renew the service contract for prior year shipping rates, that uncertainty must be borne by HSDG. Petition at 8. HSDG refused to comply with ALJ orders to produce information about service contract rates and the ALJ and the Commission erred by concluding additional evidence would not have materially impacted the outcome of this case states OJC. *Id.* As noted above, the purpose of a reconsideration petition is not to simply elaborate on or repeat arguments made prior to the decision or order. *Maier Terminals*, 2014 WL 5316353, at *3. OJC has repeatedly argued that HSDG should bear any uncertainty about damages calculations due to HSDG's willful violations of the Shipping Act and additional evidence would have materially impacted the outcome of the case. Complainant's Exceptions to the Initial Decision at 14, 27; Complainant's Reply to HSDG's Exceptions to the Initial Decision at 26; Complainant's Brief at 26-7. The argument that the HSDG refused to comply with ALJ discovery orders and should be sanctioned was addressed by the Initial Decision and the Final Decision. F.D. at 62; I.D. at 64. OJC reiterates prior arguments about the "standard[s]" for adverse inferences, "the law," and "authority," but does not point out material facts to support the conclusion that the Commission made a substantive error in the Final Decision by ignoring, misrepresenting, or misunderstanding them. Petition at 8-9. As

such, the Commission summarily rejects the Petition because it does not meet the criteria for reconsideration. 46 C.F.R. § 502.261.

2. Petition Denial

Were the Commission to reach the merits of the Petition's second argument, the Commission would deny the Petition. OJC argues that "evidence of what service contract rates HSDG charged others in 2021-2022 was the exact information OJC sought in discovery[.]" Petition at 8. But the ALJ chose not to require HSDG to produce this information and specifically did not require HSDG to "review or provide documents regarding pricing for individual shippers." Order on Motion to Compel and Revise Schedule, June 29, 2022; CX at 300. OJC argues that HSDG refused multiple court orders to produce this information, but that is not accurate. Petition at 8. OJC argues that the evidence HSDG refused to produce would have provided all the missing evidence the Commission desires. *Id.* But the evidence is not missing because HSDG refused to produce it; rather, it is missing because it does not exist. OJC and HSDG never reached the point of negotiating shipping rates for the service contract renewal and never exchanged even proposals for rates. The information the ALJ did ask HSDG to produce, namely "any policies, procedures, guidance, training, or instructions regarding pricing for shipping or determining prices charged for shipment," does not support OJC's argument that the missing information is precisely what the Commission felt was so important. CX at 300. The Commission does not agree that the arguments OJC asserts identify substantive error in the Final Decision, and finds that certainly none of the arguments asserted identify a material fact that the Commission missed, misinterpreted, or otherwise got wrong. As such, the Commission denies the second count of the Petition.

D. Attorney Conduct

The Commission appreciates zealous advocacy. However, we have serious concerns about an argument OJC's attorney used in the Petition. On page seven of the Petition, OJC's attorney inserts a

block quote that purports to quote from the Commission's Final Decision but includes brackets around key words. Brackets are generally used for changing letters or the tense of words, omitting letters, or indicating grammatical mistakes. OJC's attorney instead modifies the Commission's Final Decision by replacing one concept (pricing), with another wholly different concept (space availability). OJC's attorney provides no clear explanation for this switch, which gives the reader the mistaken impression that the Commission's Final Decision directly supports OJC's arguments. The closest OJC comes to explaining the use of brackets is stating, "[w]hat was true for space was also true for pricing." Petition at 7. But that statement is not consistent with the record and is not a statement made in either the Final Decision or Initial Decision.

The Commission recently took action against an attorney practicing before the agency who was alleged to have "repeatedly misquoted the record to support his client's claims," among other things. *Order Directing Marcus Nussbaum to Show Cause*, Docket No. 24-03 (FMC Jan. 10, 2024). Attorneys who misrepresent the record or make false statements are of grave concern to the Commission. This is especially true with misrepresenting prior Commission statements given the volume of Commission precedent available only in difficult-to-access databases. The conduct of OJC's attorney does not yet merit further process, but the Commission takes this opportunity to warn OJC's attorney Mr. Hecht and any other attorneys practicing before the Commission against similar conduct.

III. CONCLUSION

For the reasons discussed in this order, the Commission summarily rejects both counts of the Petition. The Commission also denies both counts of the Petition in the alternative.

The Commission hereby:

- (1) **SUMMARILY REJECTS** Complainant OJ Commerce, LLC's first count of the Petition for Reconsideration for failing to identify a substantive error of material fact as required by 46 C.F.R. § 502.261(a)(2);
- (2) **DENIES**, alternatively, Complainant OJ Commerce, LLC's first count of the Petition for Reconsideration because the record shows HSDG was not willing to renew OJC's service contract with the prior year's shipping rates;
- (3) **DENIES**, alternatively, Complainant OJ Commerce, LLC's first count of the Petition for Reconsideration due to collateral estoppel;
- (4) **SUMMARILY REJECTS** Complainant OJ Commerce, LLC's second count of the Petition for Reconsideration for failing to identify a substantive error of material fact as required by 46 C.F.R. § 502.261(a)(2);
- (5) **DENIES**, alternatively, Complainant OJ Commerce, LLC's second count of the Petition for Reconsideration because OJC fails to identify a substantive error of material fact.

By the Commission.

David Eng
Secretary